

\$10,000 added to his \$123,000 income places him in the top 4 percent of all income-producing households in America. Remember that approximately 3.5 percent of the households in America have a net worth of \$1 million or more. But Josh has a net worth that even optimistically estimated is well beneath that figure. His total net worth, including the equity in his home, law partnership, pension, and other assets is \$553,000.

How about Henry? In spite of his much smaller income, Henry has accumulated significantly more wealth. Stated conservatively, his net worth is \$834,000. How is it possible for a teacher to have so much more wealth than an attorney with nearly twice the income?

Stated simply, Henry and his wife are frugal; Josh and his wife are heavy consumers. Much of this difference is related to their respective positions. We find that, as a group, teachers are frugal. Additionally, attorneys who receive cash gifts from their parents spend more and save and invest less than do attorneys who are comparable in age but receive no gifts. As stated earlier, attorneys who receive cash gifts from their parents have only 62 percent of the wealth and 77 percent of the income of attorneys in the same age bracket who receive no gifts (see [Table 5-2](#)).

Where do teachers who receive gifts rank along the dimensions of wealth accumulation and income? Households headed by teachers who receive cash gifts from their parents have, on average, 185 percent of the net worth and 92 percent of the annual household income of those in the same occupational and age category who do not receive cash gifts.

Teachers who receive gifts are more likely than nonreceivers to teach in private schools, which generally pay their faculty lower salaries than do public schools. Perhaps unknowingly, many of the Berls and Susans in America are subsidizing private schools by giving cash gifts to their adult children. This, in turn, may encourage people like Henry to be willing to work for less money in a private school. Henry may figure that since he receives economic outpatient care, he does not need to earn a few thousand dollars more teaching in a public school. And although he teaches at a private school, Henry is quite comfortable driving his four-year-old Honda Accord or his wife's minivan.

By contrast, Josh is in a completely different environment. In fact, the office complex where he parks his car is filled with imported luxury sedans and sports cars. Josh is responsible in part for new-business development for his firm. So even if he would like to drive a four-year-old Honda, his clients and prospective clients might not wish to ride along with him. They might get the wrong impression.